ELEPHAS INVESTMENT

Elephas Alphas Fund

2025 Q4 Investment Letter

Performance

Elephas*	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
2025	**0.19**	**12.45**	**13.88**	**10.26**	**-7.95**	**3.83**	**9.30**	**9.10**	**4.48**	**-14.7**	**-3.71**	**-15.4**	**17.11**	**53.20**
2024								-3.38	40.27	-4.03	1.18	-0.59	30.83	30.83
MSCI China All	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
2025	**-0.32**	**8.07**	**1.39**	**-3.85**	**2.74**	**3.59**	**4.62**	**7.19**	**7.42**	**-2.42**	**-2.41**	**0.57**	**28.94**	**43.92**
2024								-2.62	23.19	-5.27	-3.23	1.50	11.62	11.62

** Class A net return, since inception July 16th 2024*

The Fund posted a -30.48% return for the quarter, bringing its cumulative return since inception to 53.20%. For reference, MSCI China All Index returned 43.92% over the same period.

Portfolio Review

We are clearly disappointed with both the magnitude of the drawdown and the level of volatility experienced during the quarter. Given the highly concentrated nature of the portfolio, both in terms of position sizing and sector exposure — with approximately 80% of assets currently invested in Chinese biotech — the correction has been particularly painful.

As the sector began to correct in Q4, we trimmed and exited several other positions which have reached our target and increased our exposure to Chinese biotech, viewing the sell-off as an opportunity to add to what we believe are some of the most attractive long-term assets in our universe. This reallocation, however, proved premature from a timing perspective. The sector continued to weaken in the near term, amplifying the drawdown and increasing portfolio concentration at an inopportune moment. While we remain confident in the long-term fundamentals and clinical progress across our holdings, the short-term impact has been severe.

It is also clear that the Fund would have performed materially better had we participated in the recent AI-related equity rally, particularly in memory and semiconductor stocks, which have been among the strongest performers and have, to some extent, drawn capital away from other sectors in China, including biotech. We made a deliberate decision not to pursue this theme. While this has been costly in the short term, we remain cautious, as the current AI capex cycle continues to raise meaningful questions around the sustainability of long-term returns on invested capital.

In summary, we acknowledge that portfolio timing and concentration decisions detracted meaningfully from performance this quarter. That said, we remain convinced that the Fund is positioned in a set of businesses where revenue visibility is improving and incremental R&D is translating into real clinical value — a combination which, over time, should offer a more robust foundation for sustainable returns than the most

fashionable themes of the current cycle.

It is reasonable to ask whether the Fund is evolving into a specialist biotech vehicle. We would stress that this is not our intention, nor does it reflect a structural change in the Fund's mandate or investment philosophy. Rather, our current exposure reflects a thematic opportunity which, in our view, best captures several of the most attractive structural trends within Chinese equities.

Specifically, Chinese biotech embodies the broader story of Chinese companies successfully expanding overseas, monetising innovation at global (and in many cases US) pricing, while benefiting from deep domestic advantages — including a large pool of highly trained STEM graduates, world-class engineering talent, and materially lower clinical development and operating costs. This combination allows Chinese biotech companies to compete on a global stage with a cost structure that is structurally superior to that of their Western peers.

Importantly, unlike many of the more popular investment themes, the sector remains structurally under-owned and under-researched. The analytical demands of drug development and pipeline assessment require a level of specialist expertise that many investment teams no longer maintain, particularly following the previous industry downturn, during which a significant number of dedicated pharmaceutical analysts exited the market. As a result, despite clear evidence of improving pipelines, accelerating out-licensing activity, and rising regulatory credibility, large parts of the Chinese biotech universe remain poorly understood and inefficiently priced. Our exposure therefore reflects a deliberate concentration of capital into what we believe is currently the most compelling and mispriced expression of Chinese comparative advantage within global capital markets.

Market Outlook

While AI's technological promise is undeniable, the sheer scale of capital now committed increasingly raises questions around the sustainability of returns. The market has begun to reflect these concerns: Oracle's share price has more than halved within the space of four months, as investors reassess the economics of large-scale AI infrastructure spending. If this reassessment proves correct, it follows that the broader ecosystem — from power generation and semiconductors to data centres and even commodities such as copper — all effectively levered to the same single theme — may prove equally problematic from a return perspective. Should this occur, we would expect capital to rotate away from crowded AI exposures and towards China and other non-AI sectors, where the Fund is currently positioned.

Akeso/Summit (9926 HK/SMMT US) continue to exemplify one of the most structurally attractive opportunities in global oncology, centred on the pivotal shift from PD-1 monotherapy to PD-1/VEGF bispecific combinations. This is not a marginal expansion but potentially a replacement of the existing standard of care. The opportunity for Akeso's ivonescimab is extremely favourable against the roughly US$60 billion (and growing) global PD-1/L1 checkpoint inhibitor market, highlighting the scale of the prize should clinical superiority be sustained. Recent data have been encouraging: ivonescimab, Akeso's internally developed PD-

1/VEGF bispecific co-developed with Summit, has demonstrated meaningful progression-free survival improvements versus Keytruda in China and continues to show positive signals across multiple indications.

Against this backdrop, there were well-reported negotiations in mid-2025 between Summit and AstraZeneca over a potential co-development arrangement that could have been worth up to US$15 billion for ex-China rights. Given that Summit already shares roughly one-third of the economics with Akeso, such a transaction would have implied a notional valuation for the underlying asset approaching US$45 billion vs the combined market cap of ~$20 billion between Akeso and Summit combined.

The absence of a concluded transaction has weighed on sentiment and contributed to sector weakness in Q4, with some investors interpreting the delay as a lack of confidence. We take a different view. As trial sponsor, Summit has the deepest visibility into ivonescimab's clinical trajectory; deferring a partnership until after key readouts is, in our judgement, a rational sequencing that preserves optionality and strengthens its negotiating position. Too often, the market substitutes headline deal values for fundamental analysis, particularly in a sector where specialist expertise has thinned. It is also worth noting that ivonescimab is already approved and commercialised in China, and our discussions with clinicians suggest it is well tolerated and exhibits durability advantages over first-generation PD-1 therapies.

Henlius (2696 HK) is a newer addition to the portfolio and provides a differentiated balance of near-term cash generation and longer-term innovation. Its biosimilar franchise — a strategy pursued for over 15 years — is now bearing fruit, with eight assets licensed to global partners including Sandoz and Dr. Reddy's. Notably, Henlius is positioned to launch the first biosimilar to Roche's Perjeta, a US$4bn+ product, in the U.S. and Europe. This coincides with a more favourable regulatory environment, where streamlined approval pathways for biosimilars are increasingly encouraged to lower healthcare costs. With approximately US$234 billion of biologic sales facing patent expiry over the next decade, Henlius is well placed to capture meaningful volume and generate stable cash flows.

Those cash flows in turn fund what we view as the company's "crown jewel", HLX-22, a novel HER2 antibody currently in global Phase 3 development. Early clinical data have been highly promising, with combination therapy showing progression-free survival period of over 25 months, more than doubling the current standard of care. With a global Phase 3 trial in gastric cancer already underway (readout expected in 2027), HLX-22 represents a $4bn+ peak sales opportunity. On a conservative 3x peak sales multiple, the implied value of this programme alone would be almost 3x the company's entire current market capitalisation.

Antengene (6996 HK) remains our high-conviction small-cap holding. Its lead asset, ATG-022, a differentiated Claudin 18.2 ADC, has demonstrated efficacy even at low expression thresholds, potentially expanding the addressable patient population well beyond that of competing agents. Importantly, its safety profile appears superior, with lower rates of severe adverse events relative to peers. On modest penetration assumptions, we believe ATG-022 could evolve into a US$1–2bn revenue product over time — a meaningful opportunity when viewed against the company's current market capitalisation of roughly US$300m.

Across these holdings, we see multiple opportunities where current market cap appears modest relative to the scale of clinical and commercial potential, offering attractive asymmetric return profiles over time.

Outside of biotech, we continue to favour Chinese companies that can monetise successfully overseas, which we view as the most reliable path to sustainable profitability. Domestic markets, while large, are often intensely competitive and structurally margin-compressive — commonly described locally as "involution" — making it difficult to earn attractive returns. **Geekplus (2590 HK)** is a good example of the alternative approach. A global leader in warehouse robotics and fulfilment automation, the majority of its revenues are generated overseas, serving multinational logistics and retail customers. Its solutions deliver clear, measurable cost savings and improving operating leverage. Much like Chinese biotech's ability to commercialise innovation at global drug prices through out-licensing and partnerships, Geekplus demonstrates how Chinese engineering advantages can translate into tangible profits when deployed internationally. Both reflect our preference for businesses where overseas revenues, rather than domestic competition, ultimately drive returns.

We would like to thank you for your continued trust and support, which we do not take for granted, particularly during a period of weaker performance.

Yiwen Li

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Contact Details:

23/F, Shun Ho Tower,

24-40 Ice House Street,

Central,

Hong Kong

info@elephasinvestment.com

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